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Trace out the general equilibrium effects

A deep insight of economics is general equilibrium: the interaction on an economy-wide scale of all economic agents. Every small shift in one firm or one industry imposes adjustments all over the economy.

As an example, suppose the world price of memory chips goes up. This will drive up the cost of computers in India. This will in turn kick off myriad adjustments. The supply function of software will shift (as software companies are users of computers); the price of software will go up slightly. Costs in user industries like finance will go up slightly and depending on elasticities of demand, these will show up as changed prices. In the labour market, persons who have skills in using computer hardware more efficiently will be paid a bigger premium compared with people who get things done while wasting resources. This will feed through into demand for books, conferences and the other purchases of highly skilled computer scientists.

We can go on enumerating a very large number of effects. The key intuition of general equilibrium is that prices change all across the economy in response to one such stimulus. The changes may be small, but they are real.

By this reasoning, the effects of a given policy change may not show up in a concentrated fashion. But if small changes are spread over a large number of economic agents all over the economy, they may add up to a substantial impact (whether benign or malign) even if they are not sharply visible at any one place.